Customs Clearance Procedure

MakroShip importer guide — sample document generated for RAG testing. The contents are illustrative and not legal advice.

1. Overview

Customs clearance is the stage where the destination country's customs authority reviews an incoming shipment, decides whether it may enter, and assesses any import duty and value-added tax (VAT). A shipment cannot be delivered until it has been cleared. This guide explains the steps, what the importer must do at each one, and the most common reasons a shipment is delayed.

2. The clearance steps

A typical international shipment moves through the following steps once it reaches the destination country:

1. **Arrival.** The shipment lands in the destination country and is logged as arrived. It now waits to be presented to customs.
2. **Declaration lodged.** A customs declaration is submitted on the importer's behalf, describing the goods, their value, their tariff (HS) code, and their country of origin.
3. **Assessment.** Customs checks the declaration. It may accept it as filed, request more documents, or select the parcel for inspection.
4. **Duty and VAT calculation.** If charges apply, customs calculates them from the customs value, the HS code, and the origin, then issues the amount payable.
5. **Payment.** The importer pays the assessed duty and VAT. Nothing is released until payment is confirmed.
6. **Release.** Customs releases the shipment, which then moves to final-mile delivery.

3. What the importer needs to do

Most clearances need no action from the importer beyond paying charges. Action is required in two situations. First, if customs requests a missing or clearer document (most often a complete commercial invoice or an import permit), the importer must supply it promptly; the shipment is held until they do. Second, when duty and VAT are assessed, the importer must pay them through the link or instructions provided. Prompt payment is the single biggest factor in avoiding extra delay.

4. Paying duty and VAT

Import charges are based on three things: the customs value of the goods (usually the invoice price, sometimes plus freight and insurance), the product's HS tariff code, and the country of origin. Duty is applied first, then VAT is calculated on the total. Because the HS code and origin both move the rate, an accurate invoice and a valid certificate of origin can lower the final bill. Under the Incoterm DDP the seller has agreed to pay these charges; under all other Incoterms the importer pays.

5. Common reasons for delay

- Missing or vague commercial invoice — the most frequent cause of a hold.

- A declared value that looks too low for the goods, which triggers a review or a physical inspection.
- A regulated product (medicine, food, certain electronics) shipped without the required import permit.
- Unpaid duty or VAT, which leaves the shipment on hold until payment and may end in return to sender.
- Random inspection, which is routine and not a sign of any problem.

6. If charges are not paid

If the importer does not pay the assessed charges, the shipment stays on hold for a holding period that varies by destination (commonly 10 to 15 calendar days). After that it is returned to the sender, and return transport costs may be deducted from any refund. To avoid this, pay the charges as soon as the notification arrives, or contact support if the assessment looks wrong.